

Hindustan Aeronautics Ltd

HAL | Industrials

ROE	ROCE	OPM
3816.6%	3464.3%	32.1%
D/E Ratio	Interest Coverage	EPS
0.62	270.9x	■114.00

5-Year Financial Trend

Year	Revenue (Cr)	Net Profit (Cr)
2024-03	■30,381	■7,595
2023-03	■26,928	■5,811
2022-03	■24,620	■5,086
2021-03	■22,882	■3,239
2020-03	■21,445	■2,842

Cash Flow Intelligence

Metric	Value
CFO Quality	High Quality
CapEx Intensity	Capital Intensive
Capital Allocation	Self-Sufficient Growth
FCF 5Y CAGR	72.9%
Distress Flag	No

✓ Investment Strengths (Pros)

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

■ Investment Concerns (Cons)

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk